8.7 Association of South East Asian Nations (ASEAN)

ASEAN was established on 8 August 1967 in Bangkok by the five original member countries: **Indonesia, Malaysia, Philippines, Singapore** and **Thailand**. Later Brunei Darussalam, Vietnam, Laos and Myanmar and Cambodia joined. Besides ten members of the ASEAN, there are six "dialogue partners" which have been participating in its deliberations. They are China, Japan, India, South Korea, New Zealand and Australia. The ASEAN nations are expected to benefit from the FTA as it will reduce tariff and non-tariff barriers. The common historical and cultural background made the member countries to maintain their unity and solidarity by establishing a trade block. Foreign trade is the life blood of the ASEAN countries following globalization and prudent macroeconomic policies. The ASEAN Summit of the Heads of Governments of member countries is the highest forum for ASEAN cooperation. Its meetings are held once in three years. The ASEAN \ministerial meeting of Foreign Ministers is the next highest decision-making body.

India's relationship with ASEAN started in 1992 when India became a "sectoral dialogue partner" of ASEAN. The geographic proximity of ASEAN countries to India facilitates faster exports and lower freight costs.



8.7.1 Objectives of ASEAN

The ASEAN Declaration states the aims and purposes of the Association as:

(i) To accelerate the economic growth, social progress and cultural development in the region;

(ii) To promote regional peace and stability and adherence to the principles of the United Nations Charter;

(iii) To promote cooperation among the members of ASEAN through the exchange of knowledge and experience in the field of public sector auditing.

12-Economics-Chapter_8.indd 168 23-12-2022 14:45:01